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DIFFERENTIATE BETWEEN CONSERVATIVE AND AGGRESSIVE ACCOUNTING

Learning Outcome

- explain the difference between conservative and aggressive accounting

This lesson returns to the implications of conservative and aggressive accounting choices. As mentioned earlier, *unbiased* financial reporting is ideal. But some investors may prefer or be perceived to prefer conservative rather than aggressive accounting choices, because a positive surprise is acceptable. In contrast, management may make, or be perceived to make, aggressive accounting choices because they increase the company's reported performance and financial position.

Aggressive accounting choices in the period under review may decrease the company's reported performance and financial position in later periods, which creates a sustainability issue. Conservative choices do not typically create a sustainability issue because they decrease the company's reported performance and financial position, and may increase them in later periods. In terms of establishing expectations for the future, however, financial reporting that is relevant and faithfully representative is the most useful.

A common presumption is that financial reports are typically biased upward, but that is not always the case. Although accounting standards ideally promote unbiased financial reporting, some accounting standards may specifically require a conservative treatment of a transaction or an event. Also, managers may choose to take a conservative approach when applying standards. It is important that an analyst consider the possibility of conservative choices and their effects.

At its most extreme, conservatism follows accounting practices that "anticipate no profit, but anticipate all losses" (**Bliss, 1924**). But in general, conservatism means that revenues may be recognized once a verifiable and legally enforceable receivable has been generated and that losses need not be recognized until it becomes "probable" that an actual loss will be incurred. Conservatism is not an absolute but is characterized by degrees, such as "the accountant's tendency to require a higher degree of verification to recognize good news as gains than to recognize bad news as losses" (**Basu, 1997**). From this perspective, "verification" (e.g., physical existence of inventories, evidence of costs incurred or to be incurred, or establishment of rights and obligations on legal grounds) drives the degree of conservatism. For recognition of revenues, a higher degree of verification would be required than for expenses.

Conservatism in Accounting Standards

The *Conceptual Framework* supports neutrality of information: "A neutral depiction is without bias in the selection or presentation of financial information."[9] Neutrality—lack of upward or downward bias—is considered a desirable characteristic of financial reporting. Conservatism directly conflicts with the characteristic of neutrality because the asymmetric nature of conservatism leads to bias in measuring assets and liabilities—and, ultimately, earnings.

Despite efforts to support neutrality in financial reporting, many conservatively biased standards remain. Standards across jurisdictions may differ on the extent of conservatism embedded within them. An analyst should be aware of the implications of accounting standards for the financial reports.

An example is the different treatment by IFRS and US GAAP of the impairment of long-lived assets.[10] Both IFRS and US GAAP specify an impairment analysis protocol that

- Under IFRS, if the "recoverable amount" (the higher of fair value less costs to sell and value in use) is less than the carrying amount, then an impairment charge will be recorded.
- Under US GAAP, an impairment charge will be recorded only when the sum of the undiscounted future cash flows expected to be derived from the asset(s) is less than the carrying amount(s). If the undiscounted future cash flows are less than the carrying amount, the asset is written down to fair value.

To illustrate the difference in application, assume that a factory is the unit of account eligible for impairment testing. Its carrying amount is USD10,000,000; "fair value" and "recoverable amount" are both USD6,000,000; and the undiscounted future net cash flows associated with the factory total USD10,000,000. Under IFRS, an impairment charge of USD4,000,000 would be recorded; under US GAAP, however, no impairment charge would be recognized.

Thus, on its face, IFRS would be regarded as more conservative than US GAAP because impairment losses normally would be recognized earlier under IFRS than under US GAAP. But, taking the analysis one step further, such a broad generalization may not hold up. For example, if an asset is impaired under both IFRS and US GAAP, and the asset's value in use exceeds its fair value, the impairment loss under US GAAP will be greater. Also, IFRS permits the recognition of recoveries of the recoverable amount in subsequent periods if evidence indicates that the recoverable amount has subsequently increased. In contrast, US GAAP prohibits the subsequent write-up of an asset after an impairment charge has been taken; it would recognize the asset's increased value only when the asset is ultimately sold.

Common examples of conservatism in accounting standards include the following:

- *Research costs*. Because the future benefit of research costs is uncertain at the time the costs are incurred, both US GAAP and IFRS require immediate expensing instead of capitalization.
- *Litigation losses*. When it becomes "probable" that a cost will be incurred, both US GAAP and IFRS require expense recognition, even though a legal liability may not be incurred until a future date.
- *Insurance recoverables*. Generally, a company that receives payment on an insurance claim may not recognize a receivable until the insurance company acknowledges the validity of the claimed amount.

Watts (2003) reviews empirical studies of conservatism and identifies the following four potential benefits of conservatism:

- Given asymmetrical information, conservatism may protect the contracting parties with less information and greater risk. This protection is necessary because the contracting party may be at a disadvantage. For example, corporations that access debt markets have limited liability, and lenders thus have limited recourse to recover their losses from shareholders. As another example, executives who receive earnings-based bonuses might not be subject to having those bonuses "clawed back" if earnings are subsequently discovered to be overstated.
- Conservatism reduces the possibility of litigation and, by extension, litigation costs. Rarely, if ever, is a company sued because it understated good news or overstated bad news.
- Conservative rules may protect the interests of regulators and politicians by reducing the possibility that fault will be found with them if companies overstate earnings or assets.
- In many tax jurisdictions, financial and tax reporting rules are linked. For example, in Germany and Japan, only deductions taken against reported income can be deducted

consequences when examining financial reports. Current-period financial reports may be unbiased, upward biased through aggressive accounting choices, downward biased through conservative accounting choices, or biased through a combination of conservative and aggressive accounting choices.

Bias in the Application of Accounting Standards

Any application of accounting standards, whether or not the standard is neutral, often requires significant amounts of judgment. Characterizing the application of an accounting standard as conservative or aggressive is more a matter of intent than definition.

Careful analysis of disclosures, facts, and circumstances contributes to making an accurate inference of intent. Management seeking to manipulate earnings may take a longer view by sacrificing short-term profitability in order to ensure higher profits in later periods. One example of biased accounting in the guise of conservatism is the so-called big bath restructuring charge. Both US GAAP and IFRS provide for accrual of future costs associated with restructurings, and these costs are often associated with and presented along with asset impairments. But in some instances, companies use the accounting provisions to estimate "big" losses in the period under review so that performance in future periods will appear better. Having observed numerous instances of manipulative practices in the late 1990s, in which US companies set up opportunities to report higher profits in future periods that were not connected with performance in those periods, the SEC staff issued rules that narrowed the circumstances under which costs can be categorized as part of a "non-recurring" restructuring event and enhanced the transparency surrounding restructuring charges and asset impairments.[11]

A similar manifestation of big bath accounting is often referred to as "cookie jar reserve accounting." Both US GAAP and IFRS require accruals of estimates of future non-payments of loans. In his 1998 speech "The Numbers Game," SEC chair Arthur Levitt expressed the general concern that corporations were overstating loans and other forms of loss allowances for the purpose of smoothing income over time.[12] In 2003, the SEC issued interpretive guidance that essentially requires a company to provide a separate section in management discussion and analysis (MD&A) titled "Critical Accounting Estimates."[13] If the effects of subjective estimates and judgments of highly uncertain matters are material to stakeholders (investors, customers, suppliers, and other users of the financial statements), disclosures of their nature and exposure to uncertainty should be made in the MD&A. This requirement is in addition to required disclosures in the notes to the financial statements.

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